

RBL BANK VALUATION (DDM)

NSE : RBLBANK

Intrinsic Value	₹ 84
Current Market Price	₹ 292
Implied Downside	-71%

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Summary : The DDM valuation of RBL Bank yields an intrinsic value of approximately ₹84 per share, compared to the current market price of ₹292. This suggests that the stock is overvalued based on dividend-based valuation.

The bank shows moderate profitability with improving ROE and stable NIM, while capital adequacy remains strong. However, lower dividend payouts and growth assumptions limit the valuation upside.

Overall, the model indicates that RBL Bank is currently trading above its intrinsic value, and the market appears to be factoring in stronger future growth and/or higher payout expectations than those assumed in this model. Additionally, dividend discount models may undervalue banks with low payout ratios, as retained earnings contribute significantly to future growth.

The valuation is sensitive to assumptions such as cost of equity and terminal growth rate.

Event Disclosure: This DDM valuation is based on RBL Bank's standalone historical performance and does not fully incorporate the pending ₹26,853 crore (\$3 billion) capital infusion from Emirates NBD.

Line item	Units	Mar 23	Mar 24	Mar 25
Income Statement (Consolidated)				
Interest Earned				
Int on Advances	₹ '000s	7,67,63,582	9,97,76,574	11,22,47,590
Int on Investments	₹ '000s	1,62,56,472	2,03,40,462	2,14,74,070
Interbank Int	₹ '000s	26,54,523	16,17,672	30,24,516
Others	₹ '000s	10,91,487	22,03,252	36,64,927
Interest Expended				
Interest on Deposits	₹ '000s	4,00,64,082	5,34,28,530	6,57,68,669
Interest on Bal with RBI and Inter bank Funds	₹ '000s	7,64,593	27,71,060	37,66,717
Others	₹ '000s	59,57,558	73,00,877	62,26,476
Other Income				
Commission, Exchange and Brokerage	₹ '000s	2,10,45,882	2,60,53,604	3,04,71,213
Profit/(Loss) on sale of Investments (Net)	₹ '000s	12,22,032	13,58,323	34,75,237
Profit/(Loss) on revaluation of Investment (Net)	₹ '000s	71,036	2,29,809	2,14,926
Profit/(Loss) on sale of land, building and other assets (Net)	₹ '000s	-3,792	4,797	10,310
Profit/(Loss) on Exchange Transactions	₹ '000s	26,92,495	26,68,655	35,41,676
Income earned by way of dividends, etc. from subsidiaries/companies and/or joint ventures abroad/ in India				
	₹ '000s	0	0	0
Misc Income	₹ '000s	41,607	2,84,331	70,449
Operating Expenses	₹ '000s	5,26,18,191	5,97,65,197	6,58,88,431
Provision and Contingencies				
	₹ cr			
Provision towards NPA (Advances)	₹ cr	1,121.80	1,356.52	3,104.93
Provision towards NPA (Investment)	₹ cr	67.5	131.07	(164.72)
Provision towards Standard Assets	₹ cr	(221.72)	287.08	11.37
Provision for Others	₹ cr	54.37	3.8	7.09
Provision towards Income Tax	₹ cr	272.47	104.93	68.28
Provision towards Deferred Tax (Net)	₹ cr	29.13	-16.11	(89.55)
Balance Sheet (Consolidated)				
Capital and Liabilities				
Capital	₹ '000s	59,95,681	60,50,999	60,78,761
ESOP Outstanding	₹ '000s	0.00	11,76,947	16,98,674
Reserves and Surplus	₹ '000s	12,92,60,906	14,11,46,428	14,89,17,819
Deposits	₹ '000s	84,87,47,377	1,03,47,04,359	1,10,93,29,023
Borrowings	₹ '000s	13,33,17,407	14,18,52,485	13,73,49,800
Other Liabilities and Provisions	₹ '000s	4,07,35,743	5,96,07,979	6,43,47,047
Assets				
	₹ '000s			
Goodwill on Consolidation	₹ '000s	4,06,776	4,06,776	4,06,776
Cash and Balances with Reserve Bank of India	₹ '000s	6,23,80,555	12,07,08,226	10,96,47,567
Balances with Banks and Money at Call and Short Notice	₹ '000s	2,28,91,311	2,35,26,020	1,60,16,263
Investments	₹ '000s	28,73,02,615	29,47,77,602	32,10,30,929
Advances	₹ '000s	70,18,64,351	83,98,69,147	92,61,82,672
Fixed Assets	₹ '000s	59,84,926	55,78,953	60,38,100
Other Assets	₹ '000s	7,72,26,580	9,96,72,473	8,83,98,817
Contingent Liabilities	₹ '000s	70,11,15,172	93,22,60,743	1,08,39,37,640
Bills for Collection	₹ '000s	3,30,03,154	3,98,70,418	3,81,73,058
Risk Weighted Assets		85,137.54	9,86,297.10	10,48,309.82
Dividend Paid		0.00	9,00,348.00	9,09,627.00
DEPOSITS				
Demand Deposits				
From Banks	₹ '000s	38,34,452	42,24,852	49,15,800
From Others	₹ '000s	14,39,93,182	17,95,68,701	17,42,58,635
Total	₹ '000s	14,78,27,634	18,37,93,553	17,91,74,435
Saving Bank Deposits				
	₹ '000s	16,92,19,594	18,05,58,195	19,95,77,049
Term Deposits				
From Banks	₹ '000s	10,06,42,143	12,10,23,958	12,20,13,049
From Others	₹ '000s	43,10,58,004	54,93,28,653	60,85,64,490
Total	₹ '000s	53,17,00,147	67,03,52,611	73,05,77,539
TOTAL		84,87,47,375	1,03,47,04,359	1,10,93,29,023
Market Price	₹	-	-	292

INCOME STATEMENT							
Metric	Units (₹ cr)	Mar 23	Mar 24	Mar 25	Mar 26E	Mar 27E	Mar 28E
Interest on Advances		7,676.36	9,977.66	11,224.76	12,479.76	13,809.38	15,354.93
Interest on Investments		1,625.65	2,034.05	2,147.41	2,317.32	2,417.57	2,548.76
Interest on Bal with RBI and Inter bank Funds		265.45	161.77	302.45	110.29	132.57	149.80
Others		109.15	220.33	366.49	381.15	396.40	412.25
Interest Income		9,676.61	12,393.80	14,041.11	15,288.52	16,755.93	18,465.75
Interest on Deposits		4,006.41	5,342.85	6,576.87	7,180.10	8,007.68	8,968.60
Interest on Bal with RBI and Inter bank Funds		76.46	277.11	376.67	110.29	132.57	149.80
Others		595.76	730.09	622.65	647.55	673.46	700.39
Interest Expenses		4,678.62	6,350.05	7,576.19	7,937.94	8,813.71	9,818.80
Net Interest Income (NII)		4,997.98	6,043.75	6,464.92	7,350.58	7,942.22	8,646.95
Commission, Exchange and Brokerage		2,104.59	2,605.36	3,047.12	3,169.01	3,295.77	3,427.60
Profit/(Loss) on sale of Investments (Net)		122.20	135.83	347.52	201.85	201.85	201.85
Profit/(Loss) on revaluation of Investment (Net)		7.10	22.98	21.49	0.00	0.00	0.00
Profit/(Loss) on sale of land, building and other assets (Net)		-0.38	0.48	1.03	0.00	0.00	0.00
Profit/(Loss) on Exchange Transactions		269.25	266.87	354.17	385.63	422.65	465.77
Income earned by way of dividends, etc. from subsidiaries/companies and/or joint ventures abroad/ in India this is the item		0.00	0.00	0.00	0.00	0.00	0.00
Misc Income		4.16	28.43	7.04	7.33	7.62	7.92
Total Other Income		2,506.93	3,059.95	3,778.38	3,763.82	3,927.88	4,103.15
Net Total Revenue		7,504.91	9,103.70	10,243.31	11,114.39	11,870.11	12,750.10
(Operating Expenses)		-5,261.82	-5,976.52	-6,588.84	-6,890.92	-7,122.06	-7,395.06
Pre Provision Operating Profit (PPOP)		2,243.09	3,127.18	3,654.46	4,223.47	4,748.04	5,355.04
(Provisions and Contingencies)		-1,021.95	-1,778.47	-2,958.67	-1,867.18	-1,758.27	-1,721.93
PBT		1,221.14	1,348.71	695.79	2,356.29	2,989.78	3,633.11
(Tax)		-301.60	-88.82	21.27	-589.07	-747.44	-908.28
Net Profit (PAT)		919.54	1,259.89	717.06	1,767.21	2,242.33	2,724.84
Weighted Average Shares (Diluted)		60,19,95,371.00	61,34,44,193.00	60,97,36,584.00	60,97,36,584.00	60,97,36,584.00	60,97,36,584.00
EPS (Diluted)		15.27	20.54	11.76	28.98	36.78	44.69
BALANCE SHEET							
Metric	Units (₹ cr)	Mar 23	Mar 24	Mar 25	Mar 26E	Mar 27E	Mar 28E
EQUITY							
Share Capital		599.57	605.10	607.88	607.88	607.88	607.88
Employee Stock Option Outstanding		0.00	117.69	169.87	169.87	169.87	169.87
Reserves and Surplus		12,926.09	14,114.64	14,891.78	16,437.52	18,305.04	20,464.67
Total Equity		13,525.66	14,837.44	15,669.53	17,215.26	19,082.79	21,242.41
FUNDING							
Deposits		84,874.74	1,03,470.44	1,10,932.90	1,23,135.52	1,37,911.78	1,54,461.20
Borrowings		13,331.74	14,185.25	13,734.98	17,156.21	19,214.95	21,520.75
Total Funding		98,206.48	1,17,655.68	1,24,667.88	1,40,291.73	1,57,126.74	1,75,981.95
OTHER NON INTEREST LIABILITIES							
Other Liabilities and Provisions		4,073.57	5,960.80	6,434.70	6,722.66	7,529.38	8,432.91
Total Capital and Liabilities		1,15,805.71	1,38,453.92	1,46,772.11	1,64,229.66	1,83,738.91	2,05,657.27
EARNING ASSETS							
Advances (Loans)		70,186.44	83,986.91	92,618.27	1,03,732.46	1,17,217.68	1,32,455.98
Investments		28,730.26	29,477.76	32,103.09	34,350.31	36,754.83	39,327.67
Balance with Banks		2,289.13	2,352.60	1,601.63	2,407.94	3,121.81	3,962.15
Total Earning Assets		1,01,205.83	1,15,817.28	1,26,322.99	1,40,490.71	1,57,094.32	1,75,745.80
NON EARNING ASSETS							
Cash and Balances with RBI		6,238.06	12,070.82	10,964.76	11,861.98	13,285.42	14,879.67
Fixed Assets		598.49	557.90	603.81	627.96	653.08	679.20
Other Assets		7,722.66	9,967.25	8,839.88	11,208.33	12,665.41	14,311.92
Goodwill		40.68	40.68	40.68	40.68	40.68	40.68
Total Non Earning assets		14,599.88	22,636.64	20,449.13	23,738.95	26,644.59	29,911.47
Total Assets		1,15,805.71	1,38,453.92	1,46,772.11	1,64,229.66	1,83,738.91	2,05,657.27
REGULATORY METRICS							
Risk Weighted Assets		85,137.54	98,629.71	1,04,830.98	1,14,105.71	1,28,939.45	1,45,701.57
RATIOS							
Metric	Units	Mar 23	Mar 24	Mar 25	Mar 26E	Mar 27E	Mar 28E
Return On Equity (ROE%)	-	-	8.9%	4.7%	10.7%	12.4%	13.5%
Return On Assets (ROA%)	-	-	0.99%	0.50%	1.14%	1.29%	1.40%
Net Interest Margin (NIM%)	-	-	5.57%	5.34%	5.51%	5.34%	5.20%
Cost To Income Ratio (%)	-	-	65.65%	64.32%	62.00%	60.00%	58.00%
Credit Cost Ratio (%)	-	-	2.31%	3.35%	1.80%	1.50%	1.30%
Loan To Deposit Ratio (%)	-	-	81.2%	83.5%	84.2%	85.0%	85.8%
Capital Adequacy Ratio (%)	-	-	15.0%	14.9%	15.1%	14.8%	14.6%
Book Value Per Share (BVPS)	-	-	241.87	256.99	282.34	312.97	348.39
P/B Multiple	-	-	-	1.14	1.03	0.93	0.84

Reporting Unit (Raw Data) ₹ in '000s
Target Unit (Financials) ₹ in crore
Divisor_Cr 10000

SCHEDULES

Metrics	Units	FY23	FY24	FY25	FY26E	FY27E	FY28E
ADVANCES (LOANS)							
Advances		70,186.44	83,986.91	92,618.27	1,03,732.46	1,17,217.68	1,32,455.98
Loan Growth %		16.97%	19.66%	10.28%	12.00%	13.00%	13.00%
DEPOSITS							
Deposits		84,874.74	1,03,470.44	1,10,932.90	1,23,135.52	1,37,911.78	1,54,461.20
Deposit Growth %		7.43%	21.91%	7.21%	11.00%	12.00%	12.00%
Breakdown							
Term Deposits %		62.65%	64.79%	65.86%	65.86%	65.86%	65.86%
INVESTMENTS							
Investments		28,730.26	29,477.76	32,103.09	34,350.31	36,754.83	39,327.67
Investment Growth %		29.83%	2.60%	8.91%	7.00%	7.00%	7.00%
EARNING ASSETS							
Advances		70,186.44	83,986.91	92,618.27	1,03,732.46	1,17,217.68	1,32,455.98
Investments		28,730.26	29,477.76	32,103.09	34,350.31	36,754.83	39,327.67
Balance with Bank		2,289.13	2,352.60	1,601.63	2,074.65	2,344.35	2,649.12
Total Earning Assets		1,01,205.83	1,15,817.28	1,26,322.99	1,40,157.42	1,56,316.86	1,74,432.77
NET INTEREST INCOME							
Average Earning Assets		1,87,785.75	1,08,511.55	1,21,070.13	1,33,240.20	1,48,237.14	1,65,374.81
Net Interest Margin %		2.66%	5.57%	5.34%	5.30%	5.25%	5.20%
Net Interest Income		4,997.98	6,043.75	6,464.92	7,061.73	7,782.45	8,599.49
NON INTEREST INCOME							
Non Interest Income % of Earning Assets		2.48%	2.64%	2.99%	2.90%	3.00%	3.00%
Earning Assets		1,01,205.83	1,15,817.28	1,26,322.99	1,40,157.42	1,56,316.86	1,74,432.77
Non Interest Income		2,506.93	3,059.95	3,778.38	4,064.57	4,689.51	5,232.98
OPERATING EXPENSES							
Cost to Income %		70.11%	65.65%	64.32%	62.00%	60.00%	58.00%
Net Total Revenue		7,504.91	9,103.70	10,243.31	11,126.30	12,471.96	13,832.47
Operating Expenses		-5,261.82	-5,976.52	-6,588.84	-6,898.30	-7,483.17	-8,022.83
CREDIT COST							
Credit Cost % (of Advances)		1.57%	2.31%	3.35%	1.80%	1.50%	1.30%
Average Advances		65,095.72	77,086.67	88,302.59	98,175.36	1,10,475.07	1,24,836.83
Credit Provisions		1,021.95	1,778.47	2,958.67	1,767.16	1,657.13	1,622.88
RISK WEIGHTED ASSETS							
RWA / Advances %		121.30%	117.43%	113.19%	110.00%	110.00%	110.00%
Advances		70,186.44	83,986.91	92,618.27	1,03,732.46	1,17,217.68	1,32,455.98
Risk Weighted Assets		85,137.54	98,629.71	1,04,830.98	1,14,105.71	1,28,939.45	1,45,701.57
CAPITAL ADEQUACY							
Equity (Roll Forwarded)		13,525.66	14,837.44	15,669.53	17,293.68	19,417.61	21,992.47
Risk Weighted Assets		85,137.54	98,629.71	1,04,830.98	1,14,105.71	1,28,939.45	1,45,701.57
CET1 RATIO		15.89%	15.04%	14.95%	15.16%	15.06%	15.09%
Target CET1 % (Assumption)		-	-	-	14%	14%	14%
Excess / (Shortfall) Capital		-	-	-	1,318.88	1,366.09	1,594.24
EQUITY ROLL FORWARD							
Opening Equity		13,525.66	13,525.66	14,837.44	15,669.53	17,293.68	19,417.61
PAT		919.54	1,259.89	717.06	1,845.63	2,498.74	3,140.07
(Dividends)		0.00	-90.03	-90.96	-221.48	-374.81	-565.21
Change in Share Capital		0.00	5.53	2.78	0.00	0.00	0.00
Change in ESOP		0.00	117.69	52.17	0.00	0.00	0.00
Closing Equity		13,525.66	14,837.44	15,669.53	17,293.68	19,417.61	21,992.47

ASSUMPTIONS AND DRIVERS

Driver Name	Units	FY26E	FY27E	FY28E	Terminal
GROWTH ASSUMPTIONS					
Loan Growth %		12.00%	13.00%	13.00%	10.00%
Deposit Growth %		11.00%	12.00%	12.00%	9.00%
investment Growth %		7.00%	7.00%	7.00%	5.00%
Other Assets Growth %		10.00%	10.00%	10.00%	6.00%
PROFITABILITY DRIVERS					
Net Interest Margin %		5.30%	5.25%	5.20%	5.00%
Cost To Income Ratio %		62.00%	60.00%	58.00%	56.00%
Credit cost % (Advances)		1.80%	1.50%	1.30%	1.20%
Non Interest Income / Earning Assets %		2.90%	3.00%	3.00%	3.00%
TAX AND OUTPUT					
Effective Tax Rate %		25.00%	25.00%	25.00%	25.00%
Dividend Payout Ratio %		12.00%	15.00%	18.00%	25.00%
CAPITAL AND REGULATORY					
Target CAR %		15.00%	15.00%	15.00%	15.00%
Target CET1 %		14.00%	14.00%	14.00%	14.00%
RWA / Advances %		110.00%	110.00%	110.00%	110.00%
VALUATION					
Cost of Equity %		13.50%			
Terminal Growth %		4.00%			
YEILD					
Yield on Advances		12.71%	12.50%	12.30%	
Yield on Investment		6.97%	6.80%	6.70%	
Yield on Bank		6.00%	6.00%	6.00%	

RBL BANK - DIVIDEND DISCOUNT MODEL

ASSUMPTIONS

Item	Value
Cost of Equity	13.50%
Terminal Growth	4.00%

DIVIDENDS

Year	FY26E	FY27E	FY28E
Dividends	221.48	374.81	565.21
Discount Factor	0.8811	0.7763	0.6839
PV of Dividends	195.13	290.95	386.57

TERMINAL VALUE

Item	Value
Terminal Value	6,187.59
Discount Factor (FY28)	0.6839
PV of Terminal Value	4,231.89

VALUATION

Item	Value
Total PV of Dividends	872.65
Equity Value	5104.54
Shares Outstanding	60,97,36,584.00
Implied Share Price	₹ 83.72

Z1	13.50%
Z2	4.00%

SENSITIVITY ANALYSIS

Cost of Equity

	₹ 83.72	12.50%	13.50%	14.50%
3.00%	₹ 85.18	₹ 76.50	₹ 69.34	
4.00%	₹ 94.25	₹ 83.72	₹ 75.20	
5.00%	₹ 105.74	₹ 92.63	₹ 82.29	

Terminal Growth

Base Case: Cost of Equity = 13.5%, Terminal Growth = 4.0%